

Fearnleys Tanker Market Wrap-up May 2024

May 21, 2024

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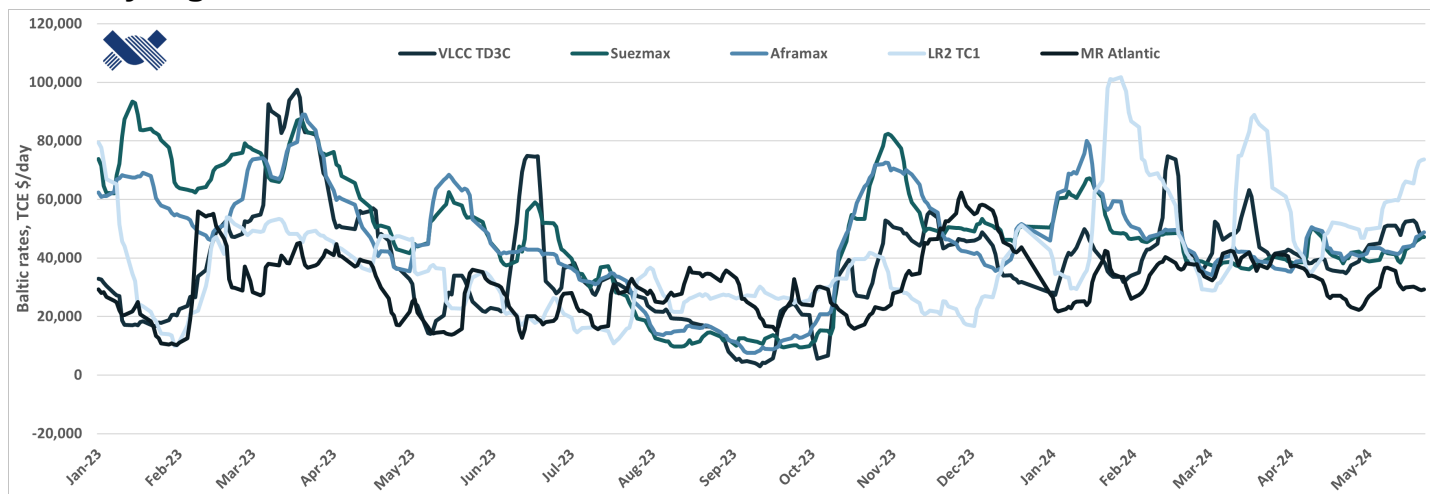
Summary and outlook

Tanker market strength continues, with rates overall holding at quite firm levels going into what is normally a seasonally slower period. Apart from LR strength in the East, building on Red Sea evasion, rates across tanker segments are slightly more aligned than over the past couple of years.

We believe the rest of the year and onwards will bring further normalisation, with the biggest vessels benefiting from a potentially stronger demand set-up and lower fleet growth than for smaller sizes.

In the near term we expect rather flattish rate development going into what is normally a seasonally weaker period. Oil production increases and low fleet growth may offset some of the 'normal' seasonally softer factors through the summer, although some softer patches cannot be ruled out.

Rates by segment



Baltic Exchange

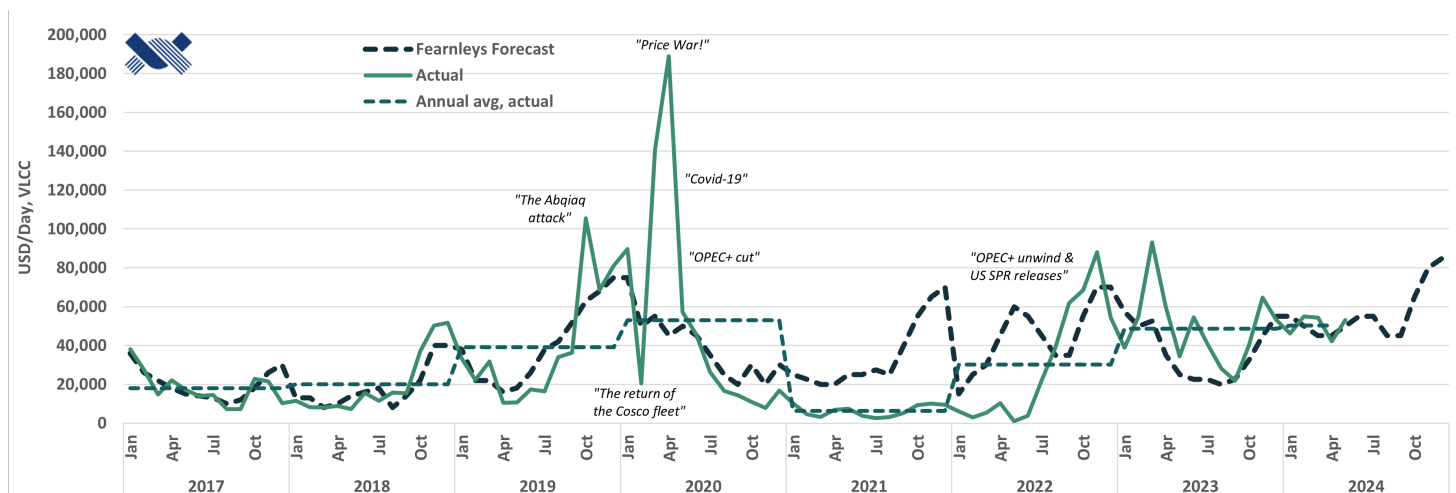
Rates strengthened again in May. For VLCCs this was driven by a tick up in cargo counts (likely due to timing) and correspondingly shorter position lists. The MEG-Far East average VLCC TCE in May to date has been \$53k/day, up from \$42k/d in April and slightly above our \$50k/d bull case forecast for May. With a softening trend over the last week the full month average may end up closer to our forecast.

Per our bull case forecast curve we expect rates to remain at strong levels through the next month or two before potentially dipping into what is normally the weakest months of the year. However, risk could be on the upside toward the end of the summer when seasonal demand in oil producing countries tails off and exports may increase.

Monthly 2024 forecast, VLCC MEG-Far East

Month	2024 Forecast		Bunker, Singapore			2024 Actual								2023	
	WS 2024	TCE	HSFO	LSFO	Spread	WS 2024	Eco	Non-Eco	Older	Eco	Non-Eco	Older	Dwt weigh. avg	TCE	y/y % chg
Jan	64	50,000	446.0	599.8	153.7	62.9	57,400	46,800	39,800	50,200	35,900	23,900	46,300	39,000	18.7 %
Feb	56	40,000	445.1	624.7	179.6	70.0	66,700	56,000	49,100	58,200	43,300	31,000	54,900	54,700	0.4 %
Mar	48	30,000	474.7	632.6	157.9	70.6	66,000	54,700	47,300	58,600	43,500	31,100	54,400	93,100	-41.6 %
Apr	48	30,000	504.2	639.5	135.3	62.2	53,800	41,700	33,900	47,400	32,100	19,600	42,200	59,800	-29.4 %
May	52	35,000	501.9	610.1	108.3	70.0	64,000	52,000	44,200	58,900	44,400	32,300	53,200	34,400	54.7 %
Jun	52	35,000												54,600	-100.0 %
Jul	48	30,000												40,700	-100.0 %
Aug	48	30,000												28,200	-100.0 %
Sep	60	45,000												21,900	-100.0 %
Oct	71	60,000												39,900	-100.0 %
Nov	83	75,000												64,600	-100.0 %
Dec	87	80,000												53,100	-100.0 %
Year to date	53.9	37,500	474.4	621.3	147.0	67.1	61,600	50,200	42,900	54,700	39,800	27,600	50,200	61,700	-18.6 %
Full-year	53.0	45,000	400	550	150									48,700	

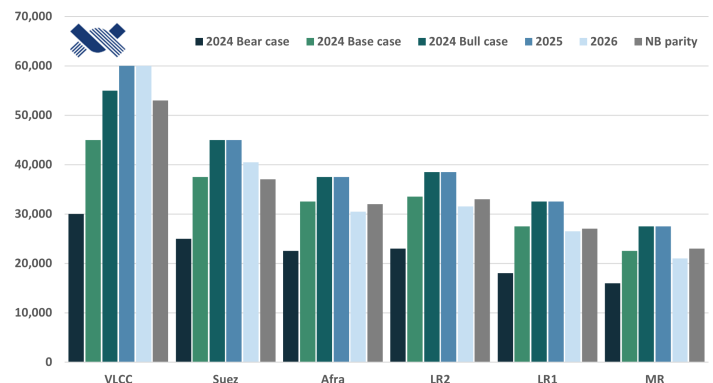
Forecast basis 2024 flat rate of 22.67 & bunker \$400/mt for HSFO & \$550/mt for LSFO. Basis fixture date



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With a strong(er) macroeconomic backdrop and increased geopolitical tension YTD rates have held firm, and we expect further strength - akin to our bull case scenario. There could also be upside risk also to our bull case, both through the remainder of this year and next year if both the economy (and by extension oil demand) and geopolitical events do not subside.

With very low expected fleet growth this and the next two years, the main downside risks to the outlook remain on the demand side. The macroeconomic development could be fragile with historically high debt levels globally and some patches of weakness, although the development so far has surprised positively. Reversal of trade diversion due to geopolitical conflicts may also negatively affect tonne-miles, although for now conflict resolution does not seem imminent.

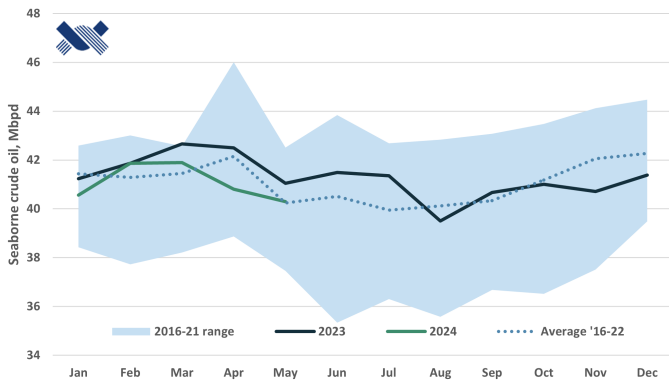


Tanker trade flow

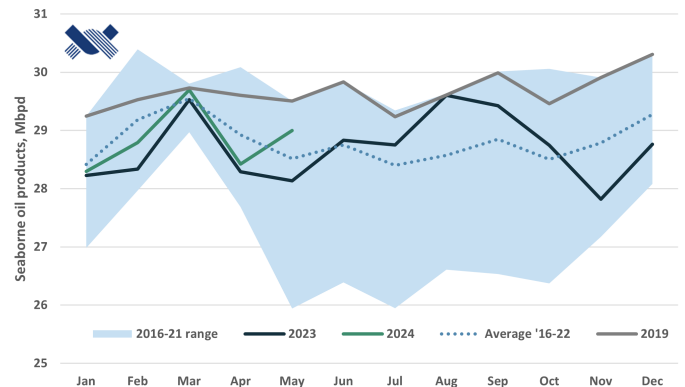
Overall tanker volumes have developed sideways to slightly lower lately, in line with a normal seasonal trend. Although crude oil production is expected to rise going forward, higher domestic consumption in key production areas through the summer means volumes are likely to trend sideways in coming months.

The exception to this may be if the OPEC+ decides to reverse some cuts into the second half of the year. The broad consensus expectation, however, is that the group will stay put. Some signs in the physical market of sufficient supply supports this, and while energy agencies forecast a shortage of crude oil in the second half of this year next year looks more balanced.

Seaborne crude oil volumes



Seaborne oil product volumes



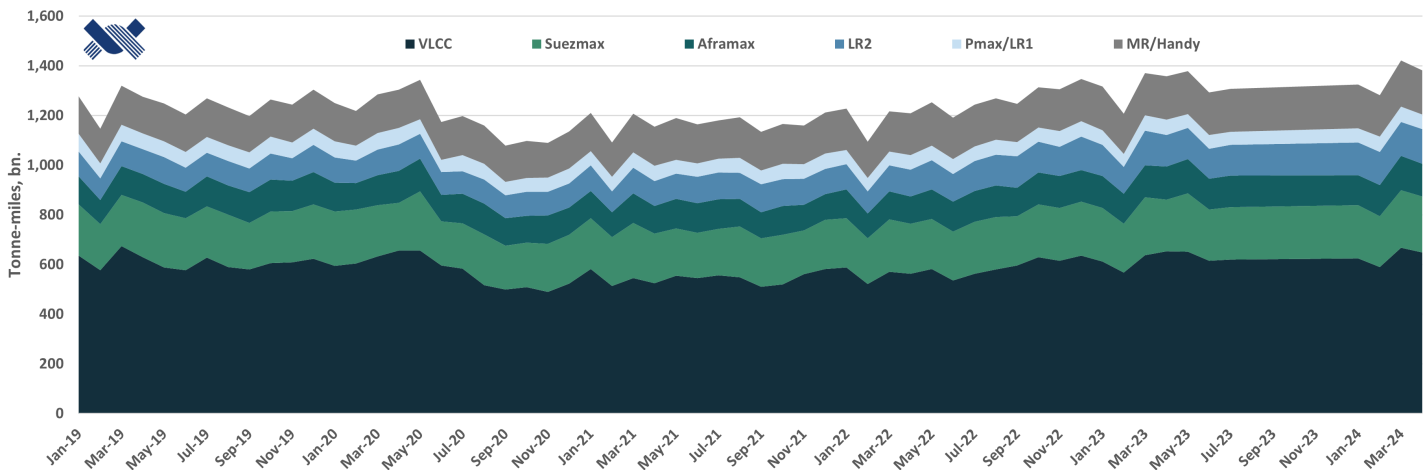
Vortexa, Fearnleys

Tonne-miles, meanwhile, have risen YTD. Through the first four months, preliminary data shows 3% higher tonne-miles vs. the same period last year. This increase is largely driven by Red Sea evasion as overall tanker volumes over the same period were 1% lower y/y.

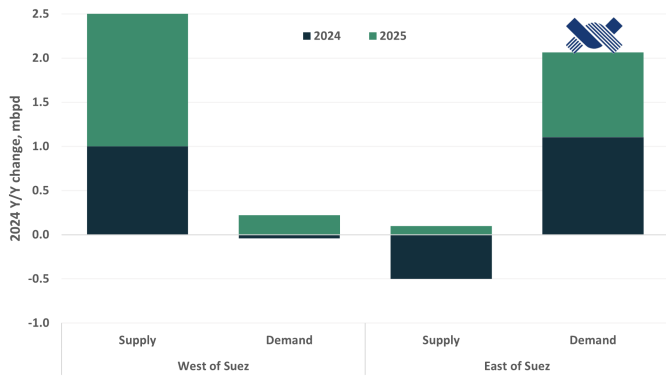
In the second half of the year, after peak summer oil demand ebbs, seaborne volumes are again slated to rise, and as West-East trade is by then likely to be the primary driver, tonne-mile demand should rise further. This is mostly expected to boost the larger tanker segments.

For now, however, the West-East arbitrage has narrowed despite the signs of a weaker physical oil market in the Atlantic basin. The latter is something to keep an eye on as further weakness and a following re-opening of the West-East arbitrage to a greater extent could spur some life into the VLCC market..

Tanker tonne-miles by segment

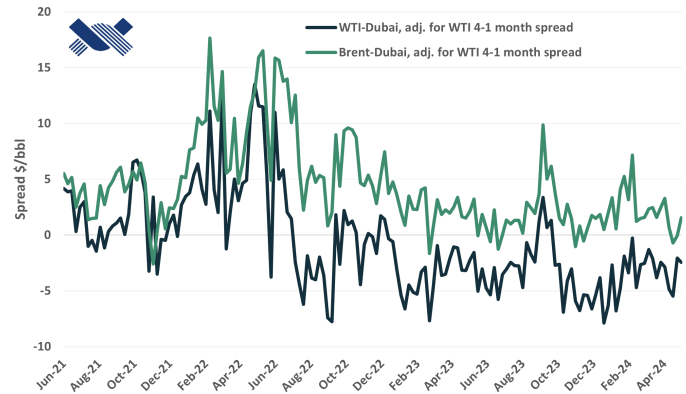


Oil demand/supply geographic spread



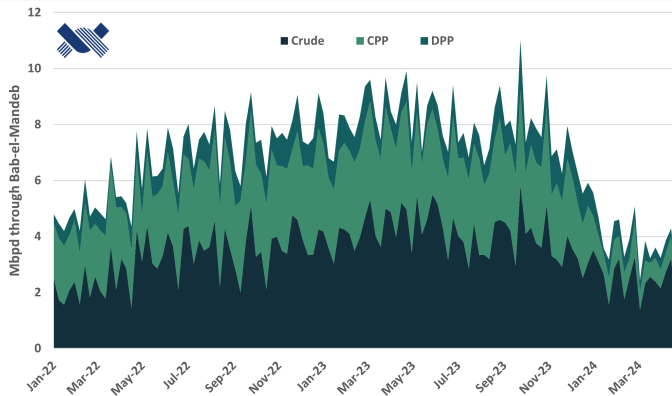
Vortexa, Fearnleys, IEA, Bloomberg

Relative pricing, WTI and Brent vs. Dubai, adj. for fwd. curve



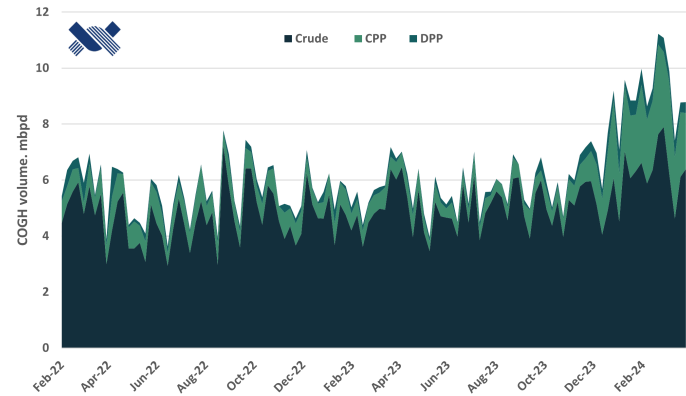
Red Sea volumes remain significantly lower, and a larger portion of what used to go through has found its way around Africa. Through April, crude oil volumes transiting the Bab-el-Mandeb strait had declined by nearly 1.6 mbpd while products had declined by nearly 2.6 mbpd vs. the 2023 average. At the same time, crude oil passing the Cape of Good Hope had increased by 1 mbpd and products by 2 mbpd. Hence, still it is not a one-for-one shift, with some more oil trading locally, but the overall tonne-mile effect remains meaningful.

Bab-el-Mandeb transits by product



Vortexa, Fearnleys

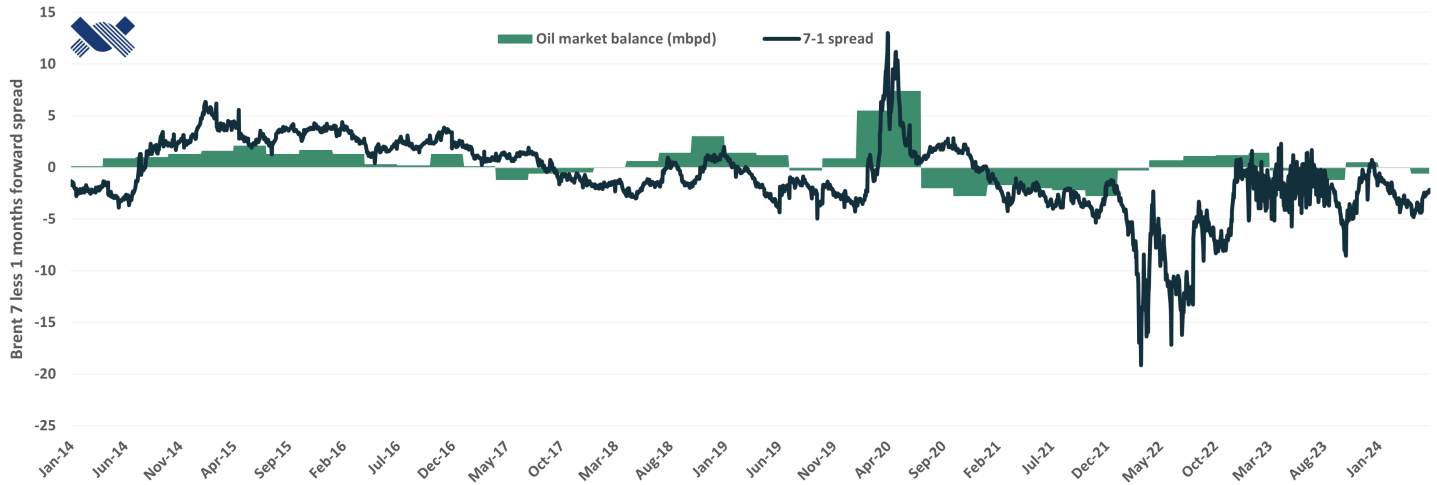
Cape of Good Hope passage by product



Oil market balance

Volumes have largely moved sideways, in line with a seasonal pattern so far this year, but oil market balances point to upside going forward. Both oil demand and supply are expected to rise materially in coming months, and further next year. A tighter oil market going forward is priced in, with a backwardated oil price forward curve (although diesel is in contango..) and refinery margins which remain above historical averages (although have softened somewhat lately).

Brent 7-1 months forward spread vs. oil market balance

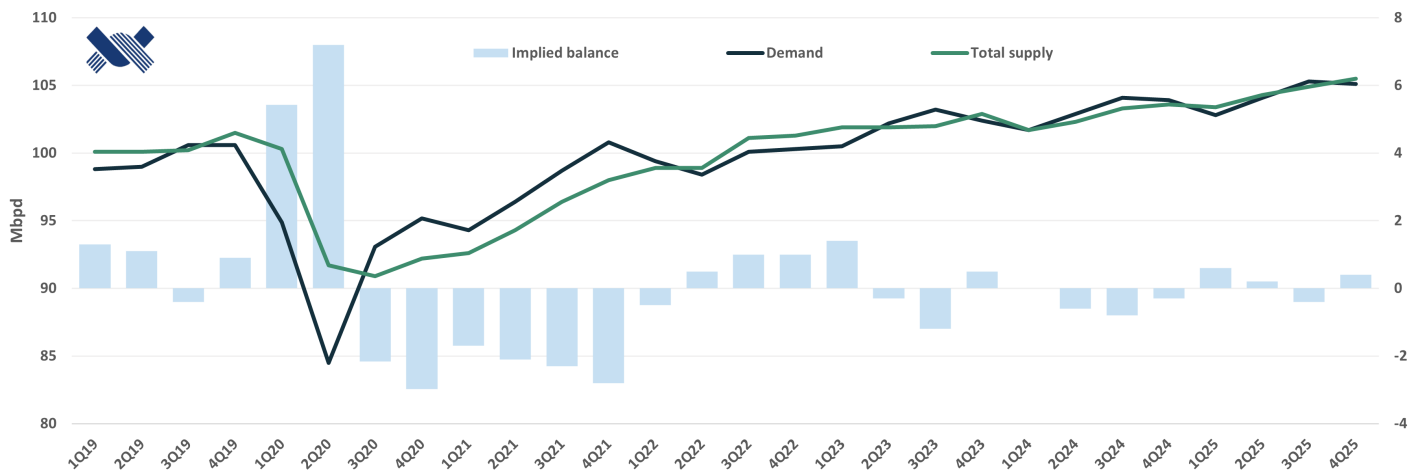


Bloomberg, IEA

In its most recent monthly report, the IEA's implied balance points to a slightly tighter market than previously expected through the remainder of the year. Global oil supply is expected to rise by 0.6, 1.0 and 0.3 mbpd Q/Q in Q2, Q3 and Q4, respectively. Most all of that is driven by non-OPEC+, but still there would be room for the OPEC+ to lift production in the second half. That does not seem to be the market's expectation, however. Given the prevailing market narrative, that would likely give quite a bit softer oil prices (which in itself should be able to stimulate some demand upside...), but a bigger problem, perhaps, for the OPEC+ is that next year's balances imply an oversupplied market - even if the group does not reverse cuts.

Non-OPEC+ production is expected to increase by 1.4 mbpd y/y both this and next year. The U.S. is still expected to contribute the most, with 640 kbpd this year and 580 kbpd next year, although this is a lower market share than in previous years with Brazil, Canada and Guyana taking up a growing share.

Oil market balance



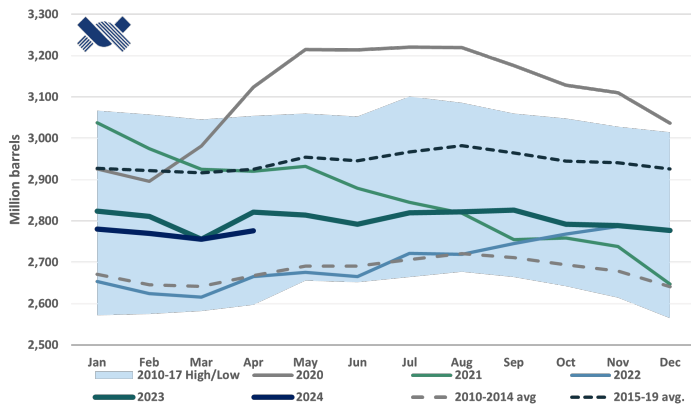
IEA

OECD inventories declined to a 20-year low in March, contrary to preliminary data in last month's report which pointed to a bigger build. Preliminary April data point to a build. With a growing surplus of crude oil in the Atlantic basin due to stagnant demand and growing supply, there could be room for further inventory builds going forward. However, economics currently do not support that, and hence there could rather be room for more West-East trade.

Implied Chinese crude oil balances still point to steady crude oil inventory builds, although various satellite tracking

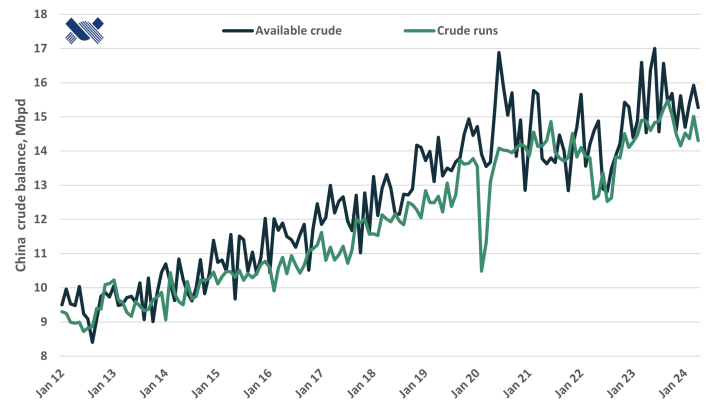
services point to stock draws earlier this year. Some of the difference may be explained by building oil products inventories.

OECD industry stocks



IEA, Argus

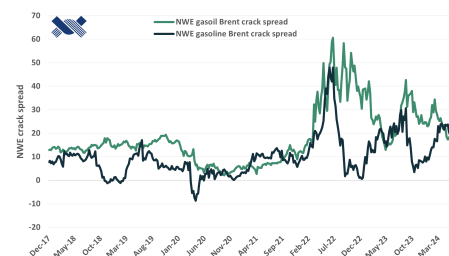
China implied balance



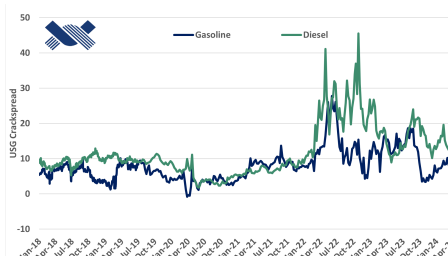
Refining and products

Refinery margins have largely softened recently, indicating somewhat weaker underlying demand. Especially diesel/gasoil margins have come off, to something closer to historical averages, with the forward curve also flipping into contango. Earlier this year there was a bigger discrepancy between Western and Eastern refinery margins, but these have levelled slightly in recent weeks, which could give less East-West trade opportunities.

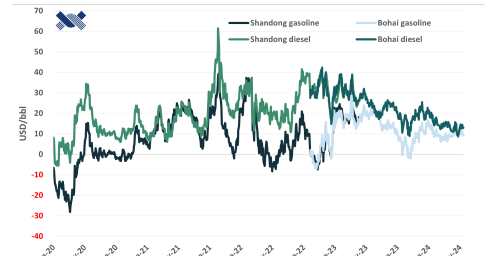
Northwest Europe crack spreads



U.S. crack spreads



China crack spreads



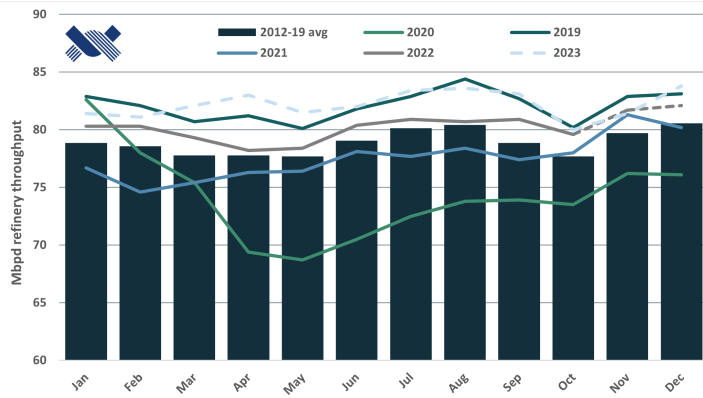
Bloomberg, EIA, Argus

Overall, as margins remain somewhat above the historical averages and new refineries come onstream, refinery runs are expected to reach new all-time-highs this year - 1 mbpd higher than last year. Next year too, runs are expected to rise, by 0.7 mbpd.

While this bodes well for product tanker demand, one thing to consider is the impact of the start-up of the Dangote refinery in Nigeria and the elusive Dos Bocas in Mexico (when or if). Once fully operational, these are likely to alleviate some of the Atlantic basin gasoil/diesel shortages.

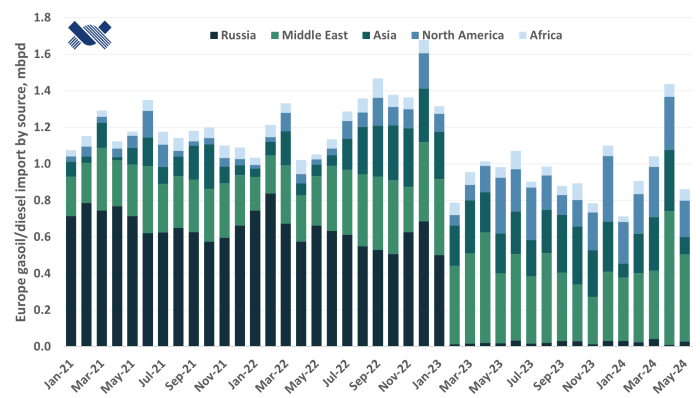
In 2021 and 2022 Europe (ex. Turkey) imported about 650 kbp/d of gasoil/diesel from Russia. In 2023 the replacement of Russian barrels came in the form of a 300 kbp/d decline in overall imports (lower demand), and about 100 kbp/d higher imports from each of the Middle East, Asia (mainly India) and North America. As the Dangote and Dos Bocas refineries combined are likely to produce more gasoil/diesel than Europe has recently imported from the Middle East and Asia, this leg of the last year's tonne-mile increase may at some point reverse.

Global refinery runs



IEA, Vortexa, Fearnleys

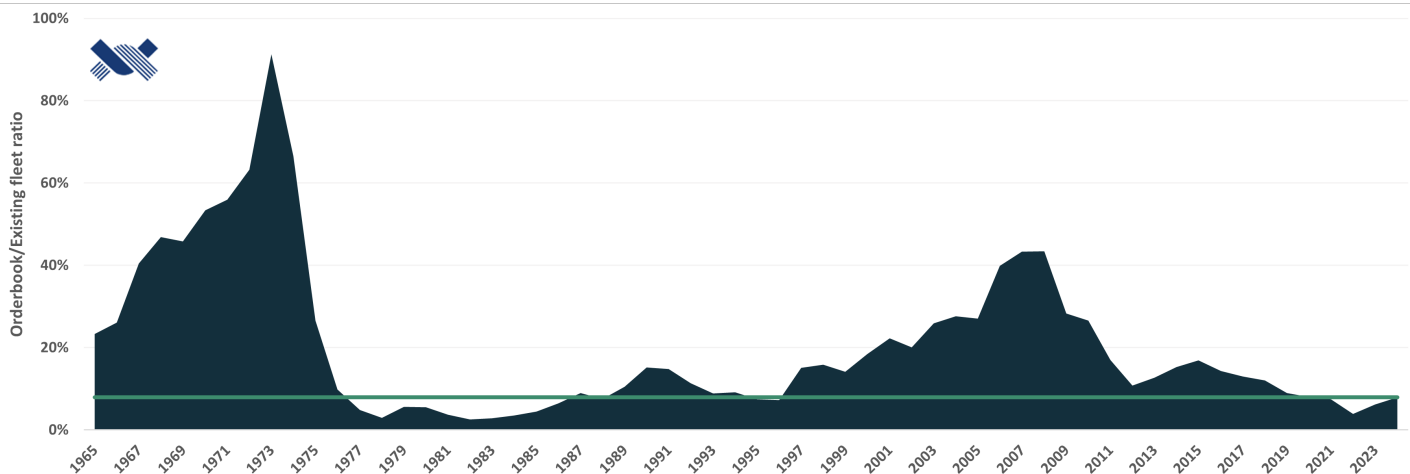
Europe gasoil/diesel imports by source



Tanker fleet development

The orderbook to fleet remains on the low side, although keeps creeping up. There is still a long way to go before the ratio hits figures which would historically be associated with (too) high fleet growth.

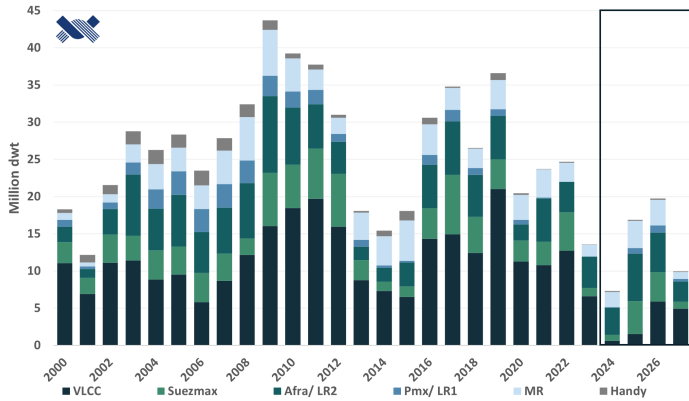
Orderbook to fleet



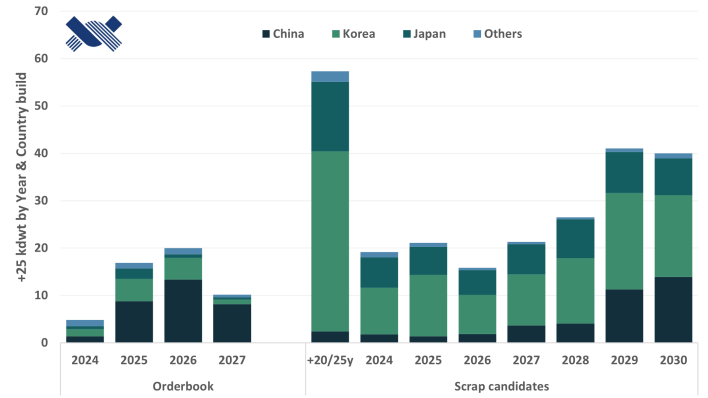
Fearnleys

Regardless, fleet growth between 2024-26 will be low, and although there remains open capacity for 2027 deliveries at yards, this is not likely to become a very high fleet growth year either.

Historical deliveries and orderbook by segment



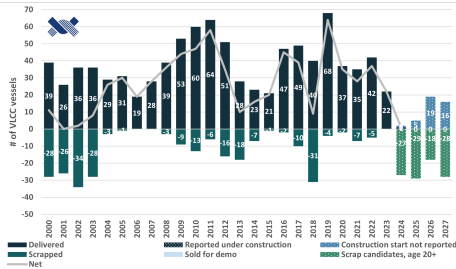
Deliveries vs. phase-out potential



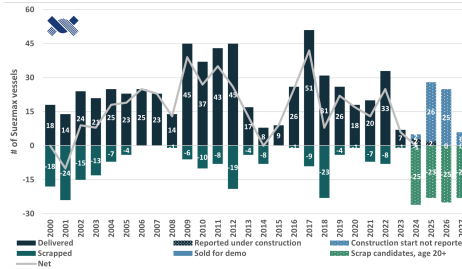
Fearnleys

The highest relative fleet growth in coming years is expected for the smaller segments - perhaps the flipside of relatively stronger earnings the past years. VLCC deliveries this and next year are few and far between, and although the delivery tallies rise in 2026 and 2027, these years may also be relatively low in a historical context.

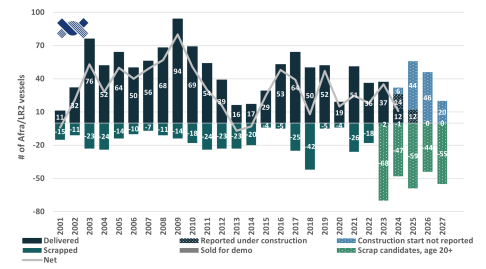
Annual VLCC deliveries, phase out, orderbook and phase-out potential



Annual Suezmax deliveries, phase out, orderbook and phase-out potential



Annual Aframax/LR2 deliveries, phase out, orderbook and phase-out potential



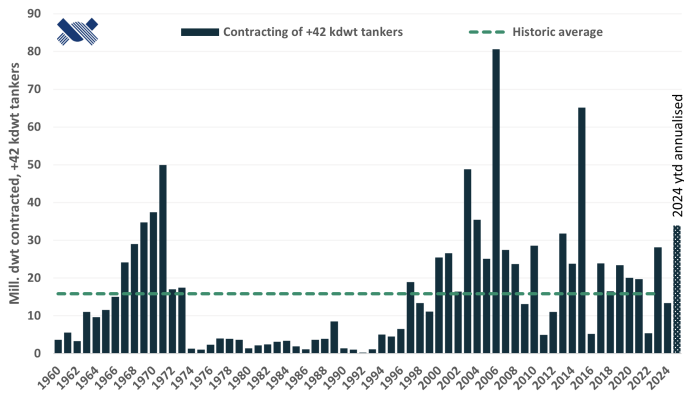
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Ordering has picked up this year, although the pace has slowed somewhat most recently. That is, for confirmed orders at least, as there still remains a number of reported or rumoured orders which could lift the tally further in coming months. Still, that may be needed, considering the outlook for continued demand growth, limited deliveries in coming years and an already quite tight tanker market balance.

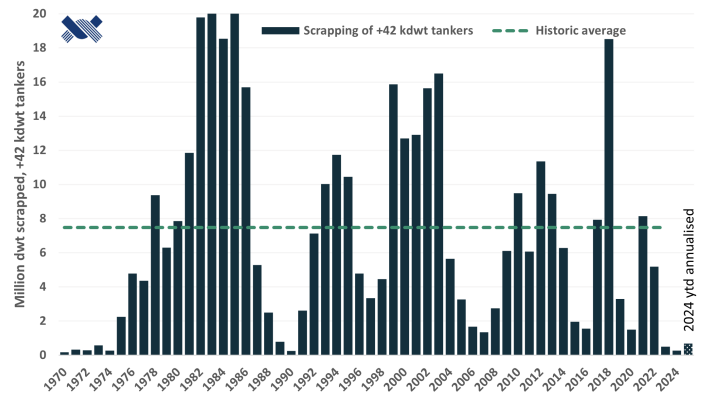
Meanwhile, only three vessels have been scrapped year to date, one Suez, one Aframax and one Handy, following just slightly more than a handful of vessels last year. As earnings remain strong, and the outlook is mainly a positive one, we do not expect to see a whole lot of scrapping, other than the odd vessel here or there, also going forward.



Annual tanker ordering, 42k+ dwt



Annual tanker scrapping, 42k+ dwt





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